

FarmsKing Financial, Banking & GST TCS Compliance Guide

Financial Rules, Nodal Banking, Tax and GST TCS Policy

1. Banking Architecture Setup

Operating a compliant multi-seller marketplace requires two primary banking components:

1. ICICI Bank E-Commerce Nodal / Escrow Account:

- Holds buyer funds temporarily before seller disbursement.
- Built under RBI guidelines for E-Commerce Market Aggregators.

2. Cashfree Marketplace Split Gateway:

- Automatically splits incoming payments: FarmsKing 10% commission goes to FarmsKing Current Account, while 90% (- 1% GST TCS) goes to the Seller's Account.

2. GST TCS (Tax Collected at Source) - 1% Rule

- **Statutory Requirement (Sec 52 CGST Act):** Every e-commerce marketplace operator must deduct 1% GST TCS (0.5% CGST + 0.5% SGST or 1% IGST) on net seller sales.
- **Calculation Example:**
 - Item Sale Price: ₹1,000
 - GST TCS (1%): ₹10 (Deposited directly to the Govt portal under the seller's GSTIN).
 - Seller receives ₹10 as Input Tax Credit (ITC) to offset their monthly GST liability.

3. C.A. (Chartered Accountant) Reports & GSTR-8 Filing

FarmsKing Admin Portal features a dedicated C.A. Export Hub:

- **GSTR-8 Monthly Export:**
 - Filed monthly before the 10th.

- CSV/Excel format contains: Seller GSTIN, Gross Sales, Returns, Net Taxable Value, and 1% TCS Amount.

4. Weekly Payout Schedule

- **Settlement Cycle:** T+7 days (7 days post-delivery to honor return windows).
- **Payout Day:** Every Thursday.
- **Automation:** Executed automatically via Cashfree Auto-Payout API.